Frequently Asked Questions -- Fees & Expenses

Last U

Q1: What is a Management Expense Ratio (MER)?

The Management Expense Ratio (MER) is the total annual cost of managing a mutual fund or ETF, expressed as a percentage of the fund's average net assets. It includes the management fee, operating expenses, and applicable taxes (HST/GST). For example, a fund with an MER of 2.00% on a $10,000 investment costs approximately $200 per year. The MER is deducted from the fund's returns, so it is not charged separately to the investor.

Q2: Are there any fees to buy or sell mutual funds?

Our mutual funds are available on a no-load basis -- there are no front-end or back-end sales charges. However, if you redeem units of a fund within 30 days of purchase, a short-term trading fee of 2% of the redemption amount will apply. This fee is paid to the fund (not the bank) to protect long-term investors from market-timing activity.

Q3: What fees apply to ETF trades?

ETF purchases and sales are subject to a standard trading commission of $9.99 per trade for regular accounts. Clients enrolled in the Premier Banking Program or with household assets exceeding $250,000 receive commission-free ETF trading. All ETF trades are also subject to the ETF's internal MER, which is embedded in the unit price.

Q4: Are there annual account fees?

Registered accounts (RRSP, TFSA, RESP, RRIF) have an annual administration fee of $50 per account. This fee is waived if the combined household balance across all investment accounts exceeds $25,000. Non-registered investment accounts have no annual administration fee.

Q5: What is the fee for transferring my account to another institution?

An account transfer-out fee of $150 per account applies when transferring to another financial institution. This fee covers the administrative and regulatory costs of the transfer. Some receiving institutions may reimburse this fee -- check with the receiving institution before initiating the transfer.

Q6: Are there fees for switching between funds?

Switches between mutual funds within the same fund family (our bank's funds) are free of charge. Switches between different fund families may be treated as a redemption and repurchase, and the short-term trading fee may apply if the original fund was held for less than 30 days. In registered accounts, switches do not trigger tax events.

Q7: What currency conversion fees apply to U.S. dollar investments?

When purchasing U.S.-denominated securities from a Canadian dollar account, a foreign exchange spread of approximately 1.5% is applied to the Bank of Canada noon rate. Clients with a U.S. dollar investment account can avoid this fee by holding and trading in U.S. dollars directly. The Norbert's Gambit strategy is not officially supported but is not prohibited.